

Contestant Number: _____

Time: _____

Rank: _____



Fundamental Accounting

(100)

State 2025

CONCEPT KNOWLEDGE:

Multiple Choice (30 @ 2 points each) _____ (60 points)

APPLICATION KNOWLEDGE:

Account Identification (15 @ 3 points each) _____ (45 points)

Short Answer (17 @ 3 points each) _____ (51 points)

Job 1: Financial Analysis (10 @ 4 points each) _____ (40 points)

Job 2: Depreciation _____ (42 points)

TOTAL POINTS _____ ***(238 points)***

Test Time: 90 minutes

GENERAL GUIDELINES:

Failure to adhere to any of the following rules will result in disqualification:

1. Member must hand in this test booklet and all printouts if any. Failure to do so will result in disqualification.
2. No equipment, supplies, or materials other than those specified for this event are allowed in the testing area. No previous BPA tests and/or sample tests (handwritten, photocopied, or keyed) are allowed in the testing area.
3. Electronic devices will be monitored according to ACT standards.

EXAM GUIDELINES:

You have been hired as a Financial Assistant and will be keeping the accounting records for Digital Solutions, located at 700 Morse Road, Suite 201, Columbus, Ohio 43214. Digital Solutions provides accounting and other financial services for clients. You will complete jobs for Digital Solutions' own accounting records, as well as for clients.

You will have 90 minutes to complete your work. The test is divided into two parts: concept knowledge and application knowledge.

Your name and/or school name should *not* appear on any work you submit for grading. Write your Member ID in the provided space. Staple all pages in order before you turn in your test.

Assumptions to make when taking this assessment:

- Round all calculations to two decimals at the final step.
- Round all percentages to one decimal place.
- Use 360 days for interest calculations.

Multiple Choice

Directions: Identify the letter of the choice that best completes the statement or answers the question.

1. Gross Profit is equal to _____.
 - A. Revenue - Cost of Merchandise Sold
 - B. Revenue - Total Expenses
 - C. Revenue - Cost of Goods Available for Sale
 - D. Revenue - Ending Inventory.
2. On a worksheet, the Purchases account balance is extended to the _____.
 - A. Income Statement debit column.
 - B. Income Statement credit column.
 - C. Balance Sheet debit column.
 - D. Balance Sheet credit column.
3. A contra revenue account will _____.
 - A. increase the cost of merchandise sold for the period.
 - B. decrease the amount of net sales for the period.
 - C. increase the net income for the period.
 - D. increase the total expenses for the period.
4. The terms 2/10, n/30 indicate that _____.
 - A. a customer must pay within 10 days to not be assessed a late fee of 2%.
 - B. the total invoice less a 2% discount is due in 30 days.
 - C. if a customer pays within 10 days, they take 2% off of their amount owed.
 - D. the customer will earn a 2% discount on 10% of the invoice if paid within 30 days.
5. This accounting concept requires the owner to receive a check from the business when she withdraws money out of the business.
 - A. Historical Cost
 - B. Business Entity
 - C. Matching Expenses with Revenue
 - D. Consistent Reporting
6. Schuler Incorporated estimates that 2% of their credit sales will be uncollectible. If total sales for the year are \$250,000, of which \$170,000 were cash sales, what will be the amount of the adjusting entry for Uncollectible Accounts Expense?
 - A. \$1,600
 - B. \$3,400
 - C. \$5,000
 - D. \$8,400

7. The last closing entry for a corporation is to _____.
 - A. transfer net income to Income Summary.
 - B. transfer net income to Retained Earnings.
 - C. close Retained Earnings to Dividends.
 - D. close Dividends to Retained Earnings.
8. What is the formula for calculating net sales?
 - A. $(\text{Sales Discount} + \text{Sales Returns}) - \text{Sales}$
 - B. $\text{Sales} + (\text{Sales Returns} + \text{Sales Discount})$
 - C. $\text{Sales} - (\text{Sales Returns} + \text{Sales Discount})$
 - D. $\text{Sales} - (\text{Sales Returns} - \text{Sales Discount})$
9. What type of transactions are recorded in the Purchases Journal?
 - A. All purchases of supplies and merchandise.
 - B. Only purchases of supplies.
 - C. Only purchases of merchandise for cash.
 - D. Only purchases of merchandise on account.
10. What accounting concept is represented by using Straight-line depreciation each year?
 - A. Historical Cost
 - B. Business Entity
 - C. Matching Expenses with Revenue
 - D. Consistent Reporting
11. Which of the following is not a plant asset?
 - A. Land.
 - B. Prepaid Insurance.
 - C. Equipment.
 - D. Accumulated Depreciation - Truck.
12. Social Security Tax and Medicare Tax are paid by _____.
 - A. only the employee.
 - B. only the employer.
 - C. both the employee and the employer.
 - D. neither the employee or the employer.
13. Which of the following represents horizontal analysis of an Income Statement?
 - A. Show the percentage increase in net revenue from 2024 to 2025.
 - B. Calculate the component percentage of expenses to net sales.
 - C. Include a detailed breakout of cost of merchandise sold.
 - D. Calculate net income before tax as well as after tax.
14. Which of the following is a temporary account?
 - A. Supplies.
 - B. Merchandise Inventory.
 - C. Income Summary.
 - D. Accumulated Depreciation - Equipment.

15. What account represents the amount employees earn each pay period?
- A. Payroll Taxes Expense
 - B. Salary Expense
 - C. Social Security Tax Payable
 - D. Federal Income Tax Payable
16. The journal to record the selling of merchandise for cash is the _____ Journal.
- A. Cash Receipts
 - B. Cash Payments
 - C. Sales
 - D. Purchases
17. Who signs a promissory note?
- A. The payee.
 - B. The maker of the note.
 - C. The party who receives the cash upon maturity.
 - D. The bank who collects the interest.
18. What is the time period that distinguishes current assets from plant assets?
- A. One month.
 - B. One year.
 - C. Two years.
 - D. Three years.
19. What type of business organization pays Federal Income Tax?
- A. Proprietorships.
 - B. Partnerships.
 - C. LLP's.
 - D. Corporations.
20. The Stockholders' Equity section of a Corporate Balance Sheet includes what accounts?
- A. Capital Stock, Retained Earnings, Preferred Stock
 - B. Capital Stock, Dividends, Drawing
 - C. Capital, Retained Earnings, Dividends
 - D. Capital, Drawing, Retained Earnings
21. Dividends are declared by the _____ of the corporation.
- A. Board of Directors
 - B. CEO
 - C. President
 - D. Controller
22. Recording depreciation annually on a vehicle represents what accounting concept?
- A. Historical Cost
 - B. Business Entity
 - C. Matching Expense with Revenue
 - D. Consistent Reporting

23. What is the formula to determine Capital on the Balance Sheet for a proprietorship?
- A. Beginning Capital + Drawing - Net Loss
 - B. Beginning Capital - Drawing - Net Income
 - C. Beginning Capital + Drawing + Net Income
 - D. Beginning Capital - Drawing - Net Loss
24. What is an advantage of the corporate business structure?
- A. Ease of formation
 - B. Less governmental regulations
 - C. Limited liability for owners
 - D. SEC requirements
25. Which financial statement represents the accounting equation?
- A. Work Sheet
 - B. Income Statement
 - C. Statement of Stockholders' Equity
 - D. Balance Sheet
26. The total of all the vendor account balances should equal the balance of what account?
- A. Purchases
 - B. Supplies
 - C. Accounts Receivable
 - D. Accounts Payable
27. The balance of Supplies Expense on December 31st before closing entries are prepared represents _____.
- A. the beginning balance of supplies.
 - B. the amount of supplies bought during the year.
 - C. the amount of supplies used during the year.
 - D. the ending balance of supplies.
28. What effect does a customer returning merchandise have on the Income Statement?
- A. Decreases net income
 - B. Increases net revenue
 - C. Decreases total contra revenue
 - D. Increases cost of merchandise sold
29. The group who ensures a corporation operates in the best interests of its shareholders is the _____.
- A. Executive Committee.
 - B. Board of Directors.
 - C. Stockholders.
 - D. Internal Auditors.

30. What law was established in the wake of various accounting scandals in the early 2000's to help protect investors from fraudulent financial reporting?

- A. Dodd-Frank
- B. Sarbanes-Oxley
- C. Fair Trade
- D. Full Disclosure

Account Identification – 45 Points

Directions: For each account below, indicate its classification, its normal balance side, and on which financial statement the account appears. If an account appears on more than one financial statement, you must put both statements to be correct. Use the appropriate abbreviations for your answers.

Classifications

A = Asset
L = Liability
SE = Stockholders' Equity
R = Revenue
C = Cost of Goods
E = Expenses

Normal Balance

Dr = Debit
Cr = Credit
N = Neither

Financial Statements

BS = Balance Sheet
IS = Income Statement
SOSE = Statement of Stockholders' Equity
N = None

Account Name	Classification	Normal Balance	Financial Statement
Accounts Payable			
Dividends			
Sales Returns			
Rent Expense			
Unearned Rent			
Income Summary			
Income Tax Payable			
Capital Stock			
SS Tax Payable			
Allowance for Bad Debts			
Purchases			
Prepaid Rent			
Retained Earnings			
Accounts Receivable			
Purchases Discount			

Short Answer Problems - 3 points per answer

1. On March 3rd, Woods Furniture purchases merchandise on account with a list price of \$49,500 and is given a trade discount of 60%. Terms of the sale are 2/10, n/30. How much would Woods Furniture pay if the invoice is paid on the following dates:

a. March 12th _____

b. March 15th _____

2. Milliken, Inc. shows the following information on its Statement of Stockholders' Equity for year ended December 31st, 2025.

- Capital Stock, \$20 par value – Jan. 1 balance, 10,000 shares
- Additional shares issued on July 15th, \$20 par value– 500
- Retained Earnings – Jan. 1 balance, \$87,400
- Dividends Declared - \$4,000 per quarter
- Net Income for 2025 - \$62,980

Find the following ending balances that would be shown on the Statement of Stockholders' Equity.

a. Capital Stock Balance _____

b. Retained Earnings Balance _____

c. Total Stockholders' Equity _____

3. Morikawa Industries signs a \$5,000 promissory note with First National Bank on March 10th, 2025. The note is a 90-day note with interest of 6%.

a. For Morikawa, what account would be debited on February 10th? _____

b. How much interest will Morikawa Industries incur? _____

c. What is the maturity value on the note? _____

d. What is the maturity date on the note? _____

4. Scheffler Supplies allows certain customers to buy on credit, and offers them terms of 2/10, n/30 on all credit sales. Huntsville Schools, which is tax exempt, is one of those customers. At the beginning of March, the Accounts Receivable balance for Huntsville Schools is \$350, from a purchase made on February 12th. During March Huntsville Schools had the following transactions with Scheffler Supplies.

March 3 – Bought merchandise on account for \$300

March 5 – Paid off beginning balance

March 12 – Paid off March 3rd purchase

March 19 – Bought merchandise on account for \$400

March 21 – Returned half of the merchandise bought on March 19

March 27 – Paid off amount owed from March 19th purchase

March 30 – Bought merchandise on account for \$215

- a. What were the net sales to Huntsville Schools in March?

- b. How much cash did Huntsville Schools pay during March?

- c. What is the balance of Huntsville School's account on March 31st?

5. Total payroll for Aberg Electronics for the period ending March 12th, 2025 is \$17,420. Total federal income tax withheld is \$3,110. Appropriate percentages for payroll include: Social Security Tax – 6.2%; Medicare Tax – 1.45%. No employee has reached the tax base. Find the following amounts for the journal entry to pay the payroll on March 12th.

- a. Debit to Salary Expense _____

- b. Credit to Federal Income Tax Payable _____

- c. Credit to Social Security Tax Payable _____

- d. Credit to Medicare Tax Payable _____

- e. Credit to Cash _____

Job 1 – Financial Analysis – 4 points each; 40 points total

December 31st, 2024 account balances for Rahm Appliances, Inc. are shown below. All balances are after adjusting entries have been posted.

Cash - \$32,850
Accounts Receivable - \$10,650
Allowance for Uncollectible Accounts - \$620
Supplies - \$3,800
Merchandise Inventory - \$104,100
Equipment - \$110,000
Accumulated Depreciation - Equipment - \$12,600
Accounts Payable - \$23,700
Sales Tax Payable - \$8,100
Employee Income Tax Payable - \$6,200
Social Security Tax Payable - \$3,700
Capital Stock - \$120,000
Beginning Retained Earnings - \$64,350
Dividends - \$18,000
Sales - \$408,870
Sales Discount - \$3,710
Purchases - \$228,750
Purchases Discount - \$3,090

Rahm's Gross Profit for the year was \$185,300, and the Net Income for the year, after tax, was \$40,130. Find the following amounts shown on the 2024 Income Statement and the December 31st, 2024 Balance Sheet.

- a. Accounts Receivable Book Value_____
- b. Total Current Assets_____
- c. Total Assets _____
- d. Total Liabilities _____
- e. Current Ratio _____
- f. Retained Earnings_____
- g. Total Stockholders' Equity _____
- h. Total Liabilities & Stockholders' Equity_____
- i. Gross Profit Margin_____
- j. Return on Sales_____

Job 2 – Depreciation – 1 point each on table; 3 points per question, 42 points total

Use the following information to complete a depreciation table for two assets purchased this year. Straight-line depreciation is used for both assets. Then answer the questions found below.

Asset 1 – Bought January 8th, 2025; Cost \$18,000, Salvage Value \$5,000; Useful Life – 5 years

Asset 2 – Bought May 4th, 2025; Cost \$5,300, Salvage Value \$500; Useful Life – 4 years

	Asset 1			Asset 2		
	Annual Depreciation	Accumulated Depreciation	Ending Book Value	Annual Depreciation	Accumulated Depreciation	Ending Book Value
2025						
2026						
2027						
2028						
2029						

1. If Asset 1 was sold for \$10,500 on January 3rd, 2028, would it be sold for a gain or a loss?

2. How much gain or loss would be recognized?

3. If Asset 2 was sold for \$2,750 on December 28th, 2026, would it be sold for a gain or a loss?

4. How much gain or loss would be recognized?
